

Fed Chatterbox: July Edition

The Fed Chatterbox highlights notable comments on key topics from Fed officials since the last FOMC meeting. A few themes stand out:

- Speaking after the soft June CPI report, though before the further increase in oil prices during the blackout period, Vice Chair Jefferson said, “[The current] policy stance should continue to support the labor market while allowing inflation to resume its decline toward our 2% target as the effects of past tariffs and energy prices pass through completely.” President Williams similarly said that “The current stance of monetary policy is well positioned” to return inflation to 2%.
- In contrast, President Logan, also speaking after the June CPI report, said “I currently believe modestly higher interest rates would better balance the outlook and risks for the FOMC’s dual mandate goals.”
- Many participants tied future decisions about whether to hike to upcoming inflation data. Several shared Vice Chair Jefferson’s view that “In a scenario where actual inflation does not start to cool down soon, I believe that it could be appropriate to reconsider our current policy stance to ensure we fulfill our commitment to deliver price stability.” Similarly, Governor Cook said, “If we do not see signs of disinflation soon, I am prepared to act,” and President Hammack said, “Right now, I see no tension in our mandates—inflation is too high and if that continues, it may mean that we need higher interest rates to bring inflation back down to target.”
- At the same time, Vice Chair Jefferson, Governor Waller, and President Williams commented that they would support maintaining the current policy stance if inflation appears to be moving in the right direction over the next several months.
- Several participants commented on why inflation remains elevated. They largely agreed with President Williams, who noted that it “primarily reflects three drivers: the effect of higher tariffs on imported goods; supply chain disruptions and higher energy and commodity prices owing to the conflict in the Middle East; and the robust demand for certain categories of goods and electricity associated with the surge in technology investment.”
- Some participants worried about the consequences of inflation remaining high. Several shared Vice Chair Jefferson’s concern that “The quick succession of shocks raises the risk that inflation becomes entrenched and inflation expectations become unanchored.” A few also shared Governor Waller’s concern that “if this upward trend continues, it will be hard to push inflation back toward

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the Committee’s 2 percent goal with monetary policy at its current setting.”

The Policy Outlook

Date	Speaker	Key Quote(s)	Venue
July 16	Jefferson	1. [The current] policy stance should continue to support the labor market while allowing inflation to resume its decline toward our 2 percent target as the effects of past tariffs and energy prices pass through completely. 2. In a scenario where actual inflation does not start to cool down soon, I believe that it could be appropriate to reconsider our current policy stance to ensure we fulfill our commitment to deliver price stability.	Remarks
July 16	Schmid	In some ways the “looking through” inflation supply shocks approach to monetary policy is already embedded in the way that many economists talk about the economy. This is something I would like to see changed.	Remarks
July 16	Logan	1. I currently believe modestly higher interest rates would better balance the outlook and risks for the FOMC’s dual mandate goals. 2. In my view, we should not perpetually achieve one goal while missing the other. History shows that when central banks try to hold down unemployment by accepting persistent inflation, they often end up with more inflation and more unemployment.	Remarks
July 15	Cook	If we do not see signs of disinflation soon, I am prepared to act.	Remarks
July 15	Williams	With inflation running high, it is imperative that we restore it to the Federal Reserve’s 2 percent longer-run goal on a sustained basis. The current stance of monetary policy is well positioned to do that.	Remarks
July 13	Waller	1. The FOMC has to be ready to tighten monetary policy to prevent a repeat of the 2021-to-2022 inflation episode. 2. I will need to see several months of lower readings to feel that inflation is moving in the right direction... I think that is still a reasonable outcome, and I would then continue to hold the policy rate at its current target range. 3. If we get another hot reading on core inflation [in the June CPI report], then the FOMC will need to consider tightening monetary policy in the near term.	Remarks
June 30	Hammack	Right now, I see no tension in our mandates—inflation is too high and if that continues, it may mean that we need higher interest rates to bring inflation back down to target.	Remarks
June 26	Kashkari	In the June SEP, I penciled in one rate hike by the end of the year.	Remarks

Inflation

Date	Speaker	Key Quote(s)	Venue
July 16	Jefferson	The quick succession of shocks raises the risk that inflation becomes entrenched and inflation expectations become unanchored.	Remarks
July 16	Schmid	1. Though [the June CPI] data showed an encouraging deceleration, it would be premature to put too much weight on a single data point relative to recent trends. 2. With the price of oil once again rising, it is uncertain how persistent any relief on energy will be... Our inflation problem is not only about energy. Excluding energy, inflation is still running solidly above 2 percent. 3. I am uncomfortable ever assuming that a burst of inflation is likely to be temporary. Inflation shocks are not intrinsically transitory.	Remarks
July 16	Logan	Inflation does not appear to be headed sustainably back all the way to 2 percent... My best judgment is that inflation appears to be heading toward the mid 2’s—not all the way back to 2 percent.	Remarks
July 15	Cook	1. The risks from high inflation concern me more at this time. 2. Rising core goods prices underscore the fact that the recent acceleration in inflation is not only an energy price story. 3. Going forward, though, I believe the risks continue to be strongly weighted toward higher inflation for at least two reasons... First, the AI buildout does not show signs of slowing.... Second, the recent big supply shocks—tariffs and the Middle East conflict—risk	Remarks

Date	Speaker	Key Quote(s)	Venue
		leading to persistently higher inflation.	
July 15	Williams	1. Inflation is unquestionably too high. 2. This elevation primarily reflects three drivers. The first is the effect of higher tariffs on imported goods. The second is supply chain disruptions and higher energy and commodity prices owing to the conflict in the Middle East. And the third is the robust demand for certain categories of goods and electricity associated with the surge in technology investment. 3. There are encouraging reasons to expect that inflation has peaked and should edge down in coming quarters.	Remarks
July 14	Warsh	1. The FOMC has no tolerance for persistently elevated inflation. 2. The FOMC's job is to make sure that any short-term changes in particular prices don't broaden out, don't change to a generalized change in the price level.	Remarks
July 14	Goolsbee	On the inflation side, we have more of a problem... Now we need to start having the conversation about whether inflation is going to be more persistent than we want it to be.	Remarks
July 13	Waller	I am concerned about the elevated pace of core inflation this year, which has steadily moved up. Because core inflation is a good guide to future inflation, I am concerned that, if this upward trend continues, it will be hard to push inflation back toward the Committee's 2 percent goal with monetary policy at its current setting.	Remarks
June 26	Kashkari	Inflation has been high for five years, I think that's one way of saying we're behind the curve. We need to get it back down.	Remarks

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